off future access to credit, they have strong incentives to make timely payments. In rural India, we need to expand the reach of credit bureaus, including by bringing borrowing under self-help groups into their ambit. The use of Aadhaar in identifying individuals will also help eliminate duplicate records, while making existing records more accurate. Going forward, by the end of the year, the Credit Information Bureau of India will start providing individuals with one free credit report a year, so that they can check their credit rating and petition if they see possible discrepancies. An important proposal by the government is to give small businesses 'Udyog Aadhaar' numbers, which are unique IDs tied to both the entity as well as the promoter. Such IDs could allow small firms to build credit histories with credit bureaus, especially as the histories are tied to specific promoters.

Land is often the single most valuable source of wealth in rural areas. The digitization of land records, accompanied by a guarantee of certificates of final ownership by the state government, as proposed in Rajasthan, will ease the use of land as collateral against which funds can be borrowed. Even a formal recognition of share cropping agreements, as in the pattas registered by the state government in Andhra Pradesh, could ease access to credit for share croppers.

As a final example, MSMEs get squeezed all the time by their large buyers, who pay after long delays. All would be better off if the MSME could sell its claim on the large buyer in the market. The MSME would get its money quickly, while the market would get a claim on the better rated large buyer instead of holding a claim on the MSME. All this will happen as the three Trade-Receivables Discounting Systems (TReDS) which the RBI has licensed, start later this financial year. The key is to reduce transaction costs by automating almost every aspect of the transaction so that even the smallest MSMEs can benefit.